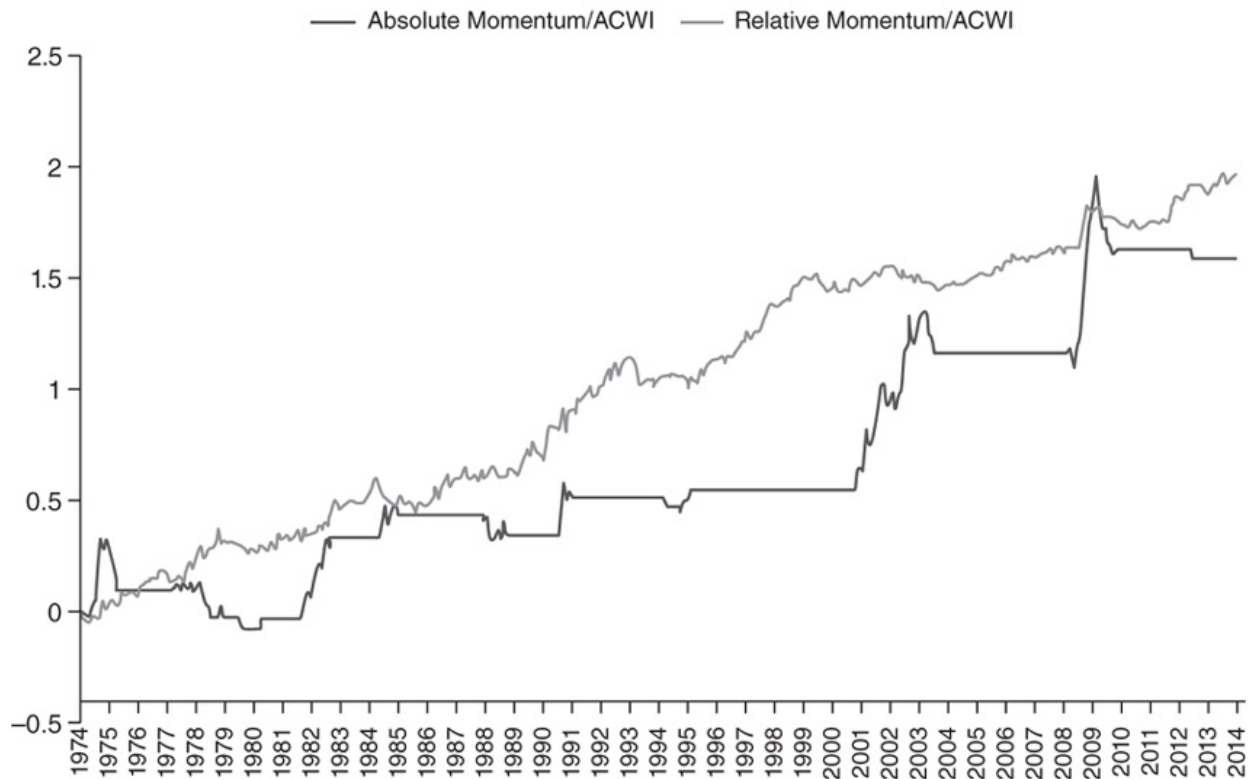


that the correlation between the monthly returns of relative and absolute momentum is 0.69, which supports the idea of their diversification value.



**Figure 8.3 Differences in Cumulative Growth, 1974–2013**

Investors currently use relative momentum much more than they use absolute momentum. Absolute momentum, though, with its substantial decrease in volatility and drawdown and its higher Sharpe ratio, is superior on a risk-adjusted basis. We are not limited, however, to using just one of these types of momentum. We can benefit from the complementary nature of relative and absolute momentum by using them both together. This is what dual momentum is all about.

## APPLIED DUAL MOMENTUM

Let us see now what happens when we combine absolute and relative momentum together in order to form dual momentum. Aggregate bonds will again serve as a safe harbor during bear markets in accordance with our